



LUANSHYA MUNICIPAL COUNCIL



FINANCIAL STATEMENTS FOR YEAR ENDED 31ST DECEMBER 2021

Luanshya Municipal Council
14th Street Zaone Avenue
P O Box 90140
LUANSHYA

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2021 which disclose the sources, utilization and balances of cash for Luanshya Municipal Council during the period under review.

Background and Location of the Council

The Council is located in Luanshya District on the Copperbelt Province of Zambia 35 Kilometers (Km) south-west of Ndola, the provincial capital of the Copperbelt Province and about 352 Kilometers (Km) north of Lusaka City, the nation's capital. It shares borders with Kitwe City on the west, Ndola City on the north-east, Masaiti district on the south-east, Mpongwe district on the south-west near Kafue River and Lufwanyama district on the north-west. It lies on an approximate latitude of 13° 7' 59.880"s and longitude 28°23' 60.00". The District has an altitude of 1257m above sea level and covers an area of 1, 007.6087 Square Kilometres (Km²) in extent.

Luanshya district has a total area of 1, 007.6087 Square Kilometres (Km²). According to the 2010 Population and Housing Census, the total population of Luanshya was 156, 059 with an average annual population growth rate of 0.5%. The population is segregated as 77,368 males being 49.6% of the Population and 78,691 females being 50.4% of the population (Census 2010-Zambia Population and Demographic Projection for 2011 – 2035, Luanshya is projected to have a population of 177, 934 by 2020).

The main economic activities in Luanshya district are mining and agriculture. The District is endowed with copper ore deposits hence making mining a major economic activity.

The address of the registered office of Luanshya Municipal Council (LMC) is as follows:

The Civic Centre

14th Street Zaone Avenue

P O Box 90140

Luanshya

REPORT OF THE COUNCIL

Composition of the Council

Luanshya Municipal Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No. 2 of 2019. As a Local Authority, the Municipal Council administers the Luanshya District.

The Council is composed of an elected Mayor, twenty-eight (28) elected councilors from twenty eight (28) wards. The current Council was elected to office in 2016 to serve a five-year term up to 2021. The Deputy Mayor was elected from among the councilors in 2016 for the period of two and half years.

The Councilors who held office during the year leading up to elections were:

S/N	NAME	GENDER	POSITION	WARD
1	Nathan Chanda Bwalya	Male	Mayor	Not applicable
2	Golden Mwenya Mulenga	Male	Deputy Mayor	Mpelembe
3	Kombe Samson	Male	Councillor	Misaka
4	Chiyasa Nepoll	Male	Councillor	Fisenge
5	Chakulya Mulenga	Male	Councillor	Twashuka
6	Robert Chisupa	Male	Councillor	Chitwi
7	Mwewa James	Male	Councillor	Chifulube
8	Daka Edgar	Male	Councillor	Buntungwa
9	Chuba Hugan Bwalya	Male	Councillor	Buteko
10	Bwalya Nkandu Timothy	Male	Councillor	James Phiri
11	Munga Herbert	Male	Councillor	Levi Chito
12	Bowa Chanda Victor	Male	Councillor	Mikomfwa
13	Kasongo Chomba	Male	Councillor	Zambezi
14	Mulenga Paul	Male	Councillor	Mulungushi
15	Simpungwe David	Male	Councillor	Mipundu
16	Bwalya Justus Charles	Male	Councillor	Kafubu
17	Chitalu Veronica	Female	Councillor	Nkoloma
18	Kahale Angel	Male	Councillor	Lumumba
19	Chisha Sephrine	Male	Councillor	Kafue
20	Siuluta Justus	Male	Councillor	Chilabula
21	Mukuka Stanslas	Male	Councillor	Mpatamatu
22	Kasonso Martin	Male	Councillor	Justine Kabwe
23	Desire mulewa mumba	Male	Councillor	Nkulumashiba
24	Bwalya Daniel	Male	Councillor	Baluba
25	Katulwende Elias	Male	Councillor	Milyashi
26	Siwale Febian	Male	Councillor	Ngebe
27	Mulenga Elizabeth			
27	Twiggy	Female	Councillor	Kansengu
	Mubanga Stanislaus			
28	Chongo	Male	Councillor	Kawama
29	Mwambazi Evaristo	Male	Councillor	Muva Hill

REPORT OF THE COUNCIL

On 12th August 2021, the current council was elected in office. The Councilors who held office after election:

S/N	NAME	GENDER	POSITION	WARD
1	Charles Mulenga	Male	Mayor	Not applicable
2	Angel Edward Kahale	Male	Deputy Mayor	Lumumba
3	Samson Kombe	Male	Councillor	Baluba
4	Allan Mumba	Male	Councillor	Fisenge
5	Nelius Simfukwe	Male	Councillor	Chitwi
6	Charles Mwila	Male	Councillor	Twashuka
7	Meran Bwalya	Male	Councillor	Buntungwa
8	Austin Zimba	Male	Councillor	Kamuchanga
9	Raban Mulaisho	Male	Councillor	Mwaiseni
10	Paul Mulenga	Male	Councillor	Mulungushi
11	Emmanuel Chewa	Male	Councillor	Zambezi
12	Nelson Choondwe	Male	Councillor	Mikomfwa
13	Clara Mutale	Female	Councillor	Levi Chito
14	Evans Mulusa	Male	Councillor	Mipundu
15	Noel Chitenta Mwansa	Male	Councillor	James Phiri
16	Chisanga Chisanga	Male	Councillor	Buteko
17	Fred Sakala	Male	Councillor	Mpelembe
18	Bentry Chisha	Male	Councillor	Chawama
19	Moses Silungwe	Male	Councillor	Maposa
20	Joseph Nsama	Male	Councillor	Kawama
21	Shadreck Nkonde	Male	Councillor	Nkoloma
22	Alicks Mafuta	Male	Councillor	Kafubu
23	Elton Zuze	Male	Councillor	Chilabula
24	Carlos Lungu	Male	Councillor	Kafue Justine
25	Paul Mwila	Male	Councillor	Kabwe
26	Brian Mwape	Male	Councillor	Nkulumashiba
27	Godfrey Mwewa	Male	Councillor	Mpatamatu
28	Angela Kayekesi	Female	Councillor	Milyashi
29	Richard Sendoi	Male	Councillor	Ngebe
30	Abel Mfune	Male	Councillor	Kansengu
31	Derrick Chibwe	Male	Councillor	Buyantanshi

The District also has two (2) elected Members of Parliament one for Luanshya Central Constituency and the other for Roan Constituency. The Members of Parliament that held office since elections were:

MPs before Elections:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Steve Chungu	Male	Luanshya
2	Hon. Joseph Chishala	Male	Roan

REPORT OF THE COUNCIL

MPs after Elections

S/N	NAME	GENDER	CONSTITUENCY
1	Lusale Simbao	Male	Luanshya
2	Joel Chibuye	Male	Roan

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Luanshya District had three District Commissioners, the first one being Mr. Patrick Bwalya Maipambe whose term was terminated leading to Mrs. Kasemuka Kanyiki Mwalo acting up to the appointment of Mr. Ngonomo Oncemore.

The Council Secretariat

The Secretariat of Luanshya Municipal Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Town Clerk is assisted by seven (7) Directors responsible for Legal, Finance, Planning, Engineering, Public Health, Human Resource and Administration, and Housing and Social Services and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2021 Kwacha	2020 Kwacha
Cash Receipts	52,141,406	56,171,758
Payments	56,844,309	49,277,657
Increase /(Decrease) in Cash and Cash Equivalents	(4,702,903)	6,894,100

Key Policies Adopted During the Year

The Council adopted the following policies during the year:

- Introduction of fees and charges for renting of Council and sub division of property.
- Upward adjustment of fees and charges for fire arm and marriage by 50%.
- Upward adjustment of fuel by 6.4% to which increased cost of service delivery.
- Upward adjustment of the electricity tariffs which resulted also in the increased cost of service delivery.

REPORT OF THE COUNCIL

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K10, 290,821.

No property, plant and equipment were disposed of during the year.

Intangible Assets

The Council Purchased Internet Software amounting to K7, 500 during the period under review.

Employees

The average number of employees during the year was 637. The total amount spent on employees' remuneration and welfare during the year was K34,372,963.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred K295,420 towards sponsoring various sporting activities.

Corporate Social Responsibility

The Council made donations during the year amounting to K50,533 towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature:

Name:

Position: Mayor.....

Date:

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Luanshya Municipal Council is responsible for preparing the financial statements for the year ended 31st December, 2021 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 9 to 12.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Luanshya Municipal Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Municipal Council for the financial year ended 31st December, 2021.

Signed on behalf of the Council on by;

Name:..... **Name:**.....

Signature:..... **Signature:**.....

Position: Mayor **Position: Town Clerk**

Name:.....

Signature:.....

Position: Director of Finance

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2021

	Note	2021 Kwacha	2020 Kwacha
RECEIPTS			
Local Taxes	2	26,450,594	27,128,289
Fees and Charges	3	6,629,702	9,659,441
Licences	4	961,082	873,886
Levies	5	68,878	30,841
Permits	6	1,743,173	1,243,610
Local Government Equalisation Fund	7	13,007,972	13,502,573
Constituency Development Fund	8	3,200,000	3,200,000
Other Grants	9	50,000	600,000
Borrowings	10	-	-
Commercial Venture	11	(27,993)	(120,877)
Other Receipts	12	57,999	53,995
TOTAL RECEIPTS		52,141,406	56,171,758
PAYMENTS			
Personal Emoluments	13	34,372,963	34,455,399
Use of goods and services	14	11,313,928	10,528,358
Financial Charges	15	80,428	55,297
Social benefits	16	778,669	1,080,006
Non-financial assets acquisition	17	10,298,321	3,158,597
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	-	-
TOTAL PAYMENTS		56,844,309	49,277,657
Increase/(Decrease) in Cash		(4,702,903)	6,894,100
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	8,092,176	1,198,076
Cash at the end of the year	22	3,389,274	8,092,176

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE
YEAR ENDED 31ST DECEMBER 2021**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	40,189,863	-	40,189,863	26,450,594	66%	(13,739,269)	-34%
Fees and Charges	11,590,492	-	11,590,492	6,629,702	57%	(4,960,790)	-43%
Licences	204,850	-	204,850	961,082	469%	756,232	369%
Levies	885,965	-	885,965	68,878	8%	(817,087)	-92%
Permits	1,361,200	-	1,361,200	1,743,173	128%	381,973	28%
Local Government Equalisation Fund	13,592,634	-	13,592,634	13,007,972	96%	(584,662)	-4%
Constituency Development Fund	3,200,000	-	3,200,000	3,200,000	100%	-	0%
Other Grants	-	-	-	50,000	-	50,000	-
Borrowings	-	-	-	-	-	-	-
Commercial Venture	1,080,000	-	1,080,000	(27,993)	-3%	(1,107,993)	-103%
Other Receipts	8,860,050	-	8,860,050	57,999	1%	(8,802,052)	-99%
TOTAL RECEIPTS	80,965,054	-	80,965,054	52,141,406	64%	(28,823,648)	-36%
PAYMENTS							
Personnel Emoluments	39,534,812	-	39,534,812	34,372,963	87%	5,161,849	13%
Use of goods and services	27,907,272	-	27,907,272	11,313,928	41%	16,593,344	59%
Financial Charges	105,000	-	105,000	80,428	77%	24,572	23%
Social benefits	2,348,854	-	2,348,854	778,669	33%	1,570,185	67%
Non-financial assets acquisition	9,989,116	-	9,989,116	10,298,321	103%	(309,205)	-3%
Financial Assets	-	-	-	-	-	-	-
Loan Repayments	-	-	-	-	-	-	-
Other payments	1,080,000	-	1,080,000	-	0%	1,080,000	100%
TOTAL PAYMENTS	80,965,054	-	80,965,054	56,844,309	3	24,120,745	30%
Increase/(Decrease) in Cash	-	-	-	(4,702,903)		(52,944,392)	

The composition of budget adjustments and explanations of major variances are provided in note 23

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2021

		2021	2020
		Kwacha	Kwacha
RECEIPTS			
Funding	7(a)	13,007,972	13,502,573
TOTAL RECEIPTS		13,007,972	13,502,573
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		10,406,378	9,794,058
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		-	-
Goods and Services		-	-
Administrative Costs		-	-
Other Costs		-	1,008,000
Sub-Total		10,406,378	10,802,058
Capital Expenditure Payments:	7(c)		
Infrastructure Development		-	982,947
Rehabilitation Works		2,601,594	398,226
Asset Acquisition		-	1,144,548
Other Costs		-	174,794
Sub-Total		2,601,594	2,700,515
TOTAL PAYMENTS		13,007,972	13,502,573
Increase/(Decrease) in cash		-	-
Cash at the beginning of the Year		374,812	374,812
Cash at the end of the Year		374,812	374,812

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2021**

		2021	2020
		Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	3,200,000	3,200,000
Other sources	8(b)	57,999	53,995
TOTAL RECEIPTS		3,257,999	3,253,995
PAYMENTS			
Infrastructure Development	8(c)	1,516,368	129,888
Rehabilitation Works	8(d)	237,749	6,189
Asset Acquisition	8(e)	499,858	22,500
Empowerment	8(f)	469,725	530,440
Administrative Costs	8(g)	369,598	102,494
TOTAL PAYMENTS		3,093,298	791,510
Increase/(decrease) in Cash		164,701	2,462,485
Cash at beginning of the year		3,212,872	750,387
Cash at the end of the year		3,377,573	3,212,872

Note 8 explain the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Luanshya Municipal Council is required, under the Local Government Act No.2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

(a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

(b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2022

(c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting
- ii. Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2019 up to 2021.
- iv. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2022 by following the guidelines provided in IPSAS 33 – "First Time Adoption of Accrual Basis IPSASs".
- v. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial reporting under the Cash Basis of accounting* to help it transit its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Luanshya Municipal Council (LMC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalization Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on 19th May, 2023 by the ordinary Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Luanshya Municipal Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- The purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27(1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values. The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalization Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament. The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise of actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor, elected councillors, Co-opted members of the Audit and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Luanshya Municipal Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Luanshya Municipal Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2021	2020
	Kwacha	Kwacha
Residential Rates	2,075,290	3,031,391
Industrial / Commercial Rates	3,784,524	2,907,844
Mining Rates	20,500,000	21,063,326
Personal Levy	90,780	125,728
	-	-
TOTAL	26,450,594	27,128,289

The Council relied on the Valuation Roll updated for the period 2020-2024 to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2021	2020
	Kwacha	Kwacha
Fees and charges	5,487,801	5,498,863
Land Development Charges	1,141,901	4,160,578
Total	6,629,702	9,659,441

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees and charges: -

Fees and Charges Type	2021	2020
	Kwacha	Kwacha
Consent Fees	69,757	67,156
Survey Fees	125,470	24,107
Building Inspection fees	76,887	202,389
Plan Scrutiny Fees	101,621	145,194
Change of premise use	1,975	1,030
Container Ntemba Fees	7,715	23,070
Rentals/Lease of Council's properties	271,590	19,807
Application Form Fees	393,072	620,567
Rentals from houses		50,042
Sketch Fees	19,063	28,902
Search Fees	8,261	10,628
Market Fees	553,567	638,976
Parking Fees	200,142	278,406
Bus Station Fees	627,013	492,104
Affidavit Fees	18,342	2,130
Grave Reservation	23,150	2,100
Refuse Disposal Fees	60,667	39,331
Notice of Marriage	75,928	99,436
Abattoir/Meat Inspection Fees	31,650	33,175
Farm Produce Levy	15,500	13,250
Communication Mast Levy	243,704	338,340
Billboard and Banner	146,230	114,563
Lease of Council Transport		104,868
Penalties	54,200	121,445
Site Rent	58,697	
Change of ownership of plot	86,090	142,965
Registration of Suppliers	300	5,450
Hire of Halls	2,700	3,400
Hire of Grounds		800
Swimming/Pool fees		200
Course fees	7,636	1,050
Library Membership Fees	15,110	11,407
Registration of Clubs and Societies	17,363	16,717
Medical Fees	40,665	25,217
Home Craft Registration	3,000	6,200
Rent/Rates Debtors	1,033,291	1,633,819
Other Fees and Charges/other income	1,097,449	180,627
TOTAL	5,487,801	5,498,863

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges:

Charges Type	2021	2020
	Kwacha	Kwacha
Service charges - residential plots	782,494	2,981,780
Service charges - Industrial plots	352,175	159,913
Premium plots - Commercial		1,009,392
Other Charges (Service Charges Debtors)	7,232	9,494
TOTAL	1,141,901	4,160,578

4. Licences

A total of **K961, 082** cash receipts was raised from issuance of various licences.

Licence Type	2021	2020
	Kwacha	Kwacha
Manufacturers licence	468,949	216,500
Retail licence	194,874	278,411
Wholesale licence	82,865	39,468
Liquor licence	48,190	17,503
Firearm and ammunition licence	18,001	32,402
Petroleum licence	81,382	237,640
Dog licence	18,740	34,670
Occupancy licence	23,225	17,292
Other licences	24,855	
TOTAL	961,082	873,886

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2021	2020
	Kwacha	Kwacha
Bird Levy	32,000	24,500
Quarry Levy		450
Pole Levy	8,280	965
Sand Levy	338	4,926
Miscellaneous levies	28,260	
TOTAL	68,878	30,841

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2021	2020
	Kwacha	Kwacha
Health Permit	578,574	542,161
Opaque Permit	7,723	7,795
Herbal Permit		56
Milk Transportation Permit	1,200	33,726
Nusery Permit	9,331	11,710
Fire Certificates	461,096	369,253
Burial Permits and Grave sites	666,957	254,748
Extension of business hours permits		1,375
Public permits (social gatherings, etc)	500	
Other Permits	17,793	22,787
TOTAL	1,743,173	1,243,610

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a. Funding

Detailed report for Local Government Equalisation Fund received in 2021

	2021	2020
Funding	Kwacha	Kwacha
1st Funding - January	1,066,557	1,132,719
2nd Funding- February	1,082,719	1,132,719
3rd Funding- March	916,650	1,082,689
4th Funding- April	162,406	1,132,719
5th Funding- May	1,069,352	1,132,719
6th Funding- June	1,069,353	1,132,719
7th Funding- July	1,066,865	1,132,719
8th Funding - August	1,076,865	1,092,689
9th Funding - September	1,074,077	1,132,719
10th Funding -October	1,068,761	1,132,719
11th Funding -November	1,116,865	1,132,719
12th Funding -December	2,237,500	1,132,719
TOTAL	<u>13,007,972</u>	<u>13,502,573</u>

b. Operational Expenditure

The Council applied amounts totalling K10,406,378 of LGEF receipts towards meeting operational expenses representing **80%** of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council applied amounts totalling K2,601,594 of LGEF receipts towards meeting capital expenditure representing **20%** of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

NOTES TO THE FINANCIAL STATEMENTS

a) CDF Funding

	2021	2020
Constituency	Kwacha	Kwacha
Luanshya	1,600,000	1,600,000
Roan	1,600,000	1,600,000
Total Funding	3,200,000	3,200,000

b) Other CDF Sources of Funding

	2021	2020
Constituency	Kwacha	Kwacha
Luanshya	27,740	19,400
Roan	30,259	34,595
Total Other Sources	57,999	53,995

Other CDF sources of funding consisted interest earned on the amounts held in CDF bank accounts which has now been presented under other receipts on the main statement of cash receipts and payments in that the funds were not received from the treasury.

c) Infrastructure Development

	2021	2020
Constituency	Kwacha	Kwacha
Luanshya	1,056,975	129,310
Roan	459,393	578
Total Infrastructure development payments	1,516,368	129,888

d) Rehabilitation Works

	2021	2020
Constituency	Kwacha	Kwacha
Luanshya	-	6,189
Roan	237,749	-
Total Rehabilitation payments	237,749	6,189

e) Asset Acquisition

	2021	2020
Constituency	Kwacha	Kwacha
Luashya	-	22,500
Roan	499,858	-
Total Asset Acquisition Payments	499,858	22,500

NOTES TO THE FINANCIAL STATEMENTS

f) Empowerment

Constituency	Kwacha	Kwacha
Luashya	269,725	4,000
Roan	200,000	526,440
Total Asset Acquisition Payments	469,725	530,440

g) Administrative Costs

	2021	2020
Constituency	Kwacha	Kwacha
Luanshya	153,754	57,939
Roan	215,845	44,554
Total	369,598	102,494

9. Other grants

During the year, the Council received the following other grants:

Revenue Source	2021	2020
	Kwacha	Kwacha
Grants in Lieu of Rates	50,000	600,000
Grants from Cooperating Partners	-	-
Other	-	-
TOTAL	50,000	600,000

10. Borrowings

During the year under review, the Council had no undertaking with any lending institution.

11. Council Commercial Venture

This consists of receipts and payments relating to operations of Baluba Motel owned by the Council. However, council had a deficit of K27, 993.

NOTES TO THE FINANCIAL STATEMENTS

	2021	2020
	Kwacha	Kwacha
Receipts		
Tailoring Sales Receipt	73,866	98,991
Shoe making Sales Receipt	16,310	26,980
Baluba Motel Rentals		
Others	2,405	12,639
TOTAL	92,581	138,609
Payments		
General Administration	16,173	24,082
Shoe making Sales Costs	10,723	26,720
Tailoring Sales Costs	61,354	189,840
Wages	32,325	15,595
Investments Interest		3,249
Others		
TOTAL	120,574	259,486
	-	-
Surplus/Deficit	- 27,993	- 120,877

12. Other Receipts

The Council received amounts totaling K57,999 in its two CDF bank accounts as interest earned for the period under review. Therefore, the amounts in question could not be recognized under any particular class of receipts in the financial statements except as “other receipts”.

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2021	2020
	Kwacha	Kwacha
Salaries Division 1	6,162,068	7,063,034
Salaries Division 2	6,344,301	6,933,507
Salaries Division 3	4,891,377	5,388,268
Wages- Division 4	12,769,544	11,650,580
Other wages	4,205,673	3,420,010
TOTAL	34,372,963	34,455,399

NOTES TO THE FINANCIAL STATEMENTS

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2021	2020
	Kwacha	Kwacha
Office Running Costs	1,090,390	1,712,685
Building, Repair and Maintenance Costs	425,682	338,074
Plant, Machinery and Vehicle Running and Maintenance Cost	3,417,070	2,526,871
Other Administrative operating costs	909,190	485,245
Requisites	835,643	528,994
Services	2,231,369	2,957,323
Travel expenses	1,213,635	900,089
Training	298,915	198,044
Medical costs	380,459	307,272
Other costs	511,576	573,760
TOTAL	11,313,928	10,528,358

15. Financial Charges

The Council paid amounts totalling **K80,427.87** in financial charges.

	Kwacha	Kwacha
Bank Charges	80,428	55,297
TOTAL	80,428	55,297

16. Social Benefits

Social benefits include payments towards death on duty, burial, and other benefits. During the year, the Council made social benefit payments amounting to K778,669.

NOTES TO THE FINANCIAL STATEMENTS

	2021	2020
	Kwacha	Kwacha
Funeral Grant	317,283	-
Terminal Benefits	381,386	1,080,006
Long Service Bonus	80,000	-
TOTAL	778,669	1,080,006

17. Non-financial Asset Acquisition

Non-financial Asset Acquisition involved the following payments:

a) Tangible Assets

	2021	2020
	Kwacha	Kwacha
Air Conditioning Equipments	78,860	24,595
Electrical Equipments	332,405	-
Computers and Peripherals (Printers)	108,100	-
purchase of the Front end loader	1,759,000	-
Purchase of a Grader	2,563,000	-
Purchase of a Tipper Truck	-	1,221,000
CDF Assets	565,358	22,500
Office Equipment	-	222,235
Rehabilitation of Buildings and Fixtures	4,829,698	1,370,277
Office furniture	54,400	157,110
Purchase of Two Motor Vehicles	-	81,836
TOTAL	10,290,821	3,099,553

b) Intangible Asset

	2021	2020
	Kwacha	Kwacha
Other Intangible Assets - Internet Software	7,500	59,044
TOTAL	7,500	59,044

NOTES TO THE FINANCIAL STATEMENTS

18. Financial Assets

There were no acquisitions of financial assets in the period under review.

19. Loan Repayments

The Council had no loan with any institution.

20. Other payments

During the period under review, the council had no other payments.

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2021	2020
	Kwacha	Kwacha
Cash on hand	10,472	5,421
Demand Deposits	3,378,802	8,086,755
Cash equivalents	-	-
TOTAL	<u>3,389,274</u>	<u>8,092,176</u>

a. Cash on hand

The Council's cash on demand was made of cash collections and petty cash:

	2021	2020
	Kwacha	Kwacha
Cash collections undeposited	10,472	5,421
Petty Cash	-	-
TOTAL	<u>10,472</u>	<u>5,421</u>

NOTES TO THE FINANCIAL STATEMENTS

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2021:

Account Name	Account No	2021 Kwacha	2020 Kwacha
Levies Account	Atlasmara -0310100900009	-	220
Operations Account	Atlasmara-0310476108015	-	-
Transit Account	Atlasmara-0310577924001	9,687	74,789
Capital project Fund A/C	Zanaco-0120321300172	568	3,516,365
Markets Account	Zanaco-0532898300108	- 18,788	144,984
Transit Account	Zanaco-5703833300356	128	94,958
Operations Account	Zanaco -5703833300255	- 7,246	29,935
Fire Account	Zanaco-5703833300154	3,983	134,659
Luanshya Constituency Account	Zanaco-0120204300186	1,703,386	1,556,100
Roan Constituency Account	Zanaco-1379123300178	1,674,186	1,656,772
Salaries Account	Zanaco-1102109300146	- 6,903	846,382
Commercial Account	Barclays-0000001081359	2,658	102
Main Ward Account	Atlasmara-0310437447016	1,344	162
Baluba Investments	Zanaco-5693307500152	3,336	31,330
ZNBS	ZNBS-06714182233201-0	11,416	
ZNBS-LGEF	ZNBS-0671237303201-0	1,046	
TOTAL		3,378,802	8,086,756

c. Cash Equivalents

The Council didn't hold any treasury bill at the end of the year under review.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on **15th February 2021**. There was no supplementary budget made in the year under review.

NOTES TO THE FINANCIAL STATEMENTS

b. Budget Variances

Own Source Revenues

Local Taxes

- The Council planned to generate K40,189,863 from local taxes but collected K26, 450,594.06 resulting in a variance of 34%. The variance was due to mainly from decreased revenue sources and collection strategies

- **Fees and Charges**

The Council planned to generate K11,590,492 from fees and charges but collected K6,629,702 resulting in variance of 43%. The variance was due to economic challenges due to the Covid 19 pandemic.

- **Licences**

The Council planned to generate K204,850 from licenses but collected K961,082 resulting in a variance of 369%. The variance was due to under budgeting.

- **Levies**

The Council planned to generate K885,965 from levies but collected K68,878 resulting in unfavorable variance of 92%. The variance was due to mainly decreased revenue sources and collection strategies with the Covid-19 Pandemic.

- **Permits**

The Council planned to generate K1,361,200 from permits but collected K1,743,173 resulting in favorable variance of 28%. The variance was due to under budgeting.

- **Commercial Venture**

The Council planned to generate K1,080,000 from Commercial Venture but collected K92,581 resulting in unfavorable variance of 91%. The variance was due to economic challenges and closure of some of the ventures due to the Covid-19 pandemic.

- **Other receipts**

The Council planned to generate K8,861 for other Receipts but collected K57,999 resulting in unfavorable variance of 99%. The variance was due to economic challenges.

NOTES TO THE FINANCIAL STATEMENTS

- **Use of Goods and Services**

The Council planned to Spend K27,907,272 from use of goods and services but spent K11,313,928 resulting in variance of 59%. The variance was due to some activities being cancelled due to the Covid 19 Pandemic.

- **Financial Charges**

The Council planned to Spend K105,000 as financial charges but spent K80,428 resulting in variance of 23%. The variance was due to bank transactions.

- **Social benefits**

The Council planned to Spend K2,348,854 as financial charges but spent K778,669 resulting in variance of 67%. The variance was due to economical challenges experienced by the institution.

- **Commercial Venture**

The Council planned to spend K1,080,000 from its Commercial Venture but spent K120,794 resulting in a variance of 89%. The variance was attributable to the economic challenges and the closure of some of the services being offered by the venture due to the Covid 19 pandemic.

24. Provision of Services

The Municipal Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

NOTES TO THE FINANCIAL STATEMENTS

Type of Services	2021 Kwacha	2020 Kwacha
Wages - Div IV	12,769,544	11,650,580
Building Maintenance (Maintenance, consumables, Cleaning)	88,316	216,624
Petrol, Oil and Lubricants	1,064,796	399,958
Servicing of Grader/Fire Tender	264,725	131,493
Spare Parts	182,198	547,276
Tyres	116,310	223,423
Repairs	3,436	13,793
Insurance	132,701	229,710
Boards Councils and Committees allowances	69,979	134,198
Hand tools and equipment	169,230	206,792
Protective Wear, Clothing and Uniforms	215,312	71,450
Street light equipment	-	112,960
Road maintenance materials	1,575,040	796,948
Insecticides	960	2,575
Veterinary Materials	-	-
Nuseries	6,335	-
Mayors donation	50,533	-
Audit fees	4,700	91,061
Printing	10,800	1,874
Advertising and Publicity.	2,500	91,960
Public functions and ceremonies	59,128	59,840
Public libraries and community	80,010	-
State Functions	2,019	50,156
Board, Council and Committee expenses	350,751	285,405
Relief, Repatriation and Burial of Destitutes	14,720	21,810
Cultural Promotions	3,000	97,660
Staff Welfare and Recreation	295,420	31,380
Land Demarcation and Survey	141,564	272,406
Bush Clearing and Grass cutting/Wards	-	426,859
Development & Maintenance of Cementaries	15,000	-
Valuation of properties	-	40,704
Labour day expenses and Awards	51,200	-
Creation and Maintenance of Parks	30,540	15,473
Provision of Fire services	151,217	251,679
Waste and Refuse collection	412,108	437,879
In and outdoor Spraying and disfection	172,364	231,898
Conferences, Seminars and Workshops	195,300	138,984
Bank charges	76,823	55,297
Water Facility Supply	-	-
Drainage System	-	-
Market facilities	149,280	250,142
Other services	3,988,341	915,278
Industrial Buildings	3,160,583	927,155
Other Machinery and Equipment	4,322,000	-
Other specialised Vehicles	-	1,221,000
	30,398,782	20,653,682

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at **K46,871,958**

	Office and Fixtures	Land and Buildings	Plant & Machinery	Intangible Assets	Motor vehicles	TOTAL
	K	K	K	K	K	K
Opening balance	1,123,863	35,329,941	1,720,851	47,235	1,332,541	39,554,431
Additions	639,265	4,829,698	4,821,858	7,500	-	10,298,321
Revaluation	-	-	-	-	-	-
Re-classification	-	-	-	-	-	-
Disposal	-	-	-	-	-	-
Depreciation	264,469	803,193	1,635,677	10,947	266,508	2,980,795
Closing balance	1,498,659	39,356,446	4,907,032	43,788	1,066,033	46,871,958

26. Investments in Other Entities

The Council held shares in the following entities:

NAME OF ENTITY	PRINCIPAL ACTIVITY	PERCENTAGE SHAREHOLDING
Baluba Investment Holdings		90%

The Council did not receive any dividends from its investments during the period under review.

27. Administered Transactions

The Council did not administer any transaction with other institutions in the period under review.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Luanshya Municipal Council:

a. Fringe benefits	Disclosures
	The Mayor was provided with a “Ceremonial Vehicle”, an office and personal secretary. He was also entitled to Sitting Allowance of K84,000 and transport refund of K14,400. The Town Clerk was also provided with a personal-to-holder car, an office and personal secretary.

NOTES TO THE FINANCIAL STATEMENTS

b. Remuneration of the Councilors'

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Luanshya Municipal Council are:

Aggregate Remuneration	K1,080,000
Number of persons	30

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K9,547,143
Number of persons	60

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

During the period under review the Local Authority did not receive any external assistance.

30. Third Party Payments

Luanshya Municipal Council during the period under review did not engage in any party's transactions.